

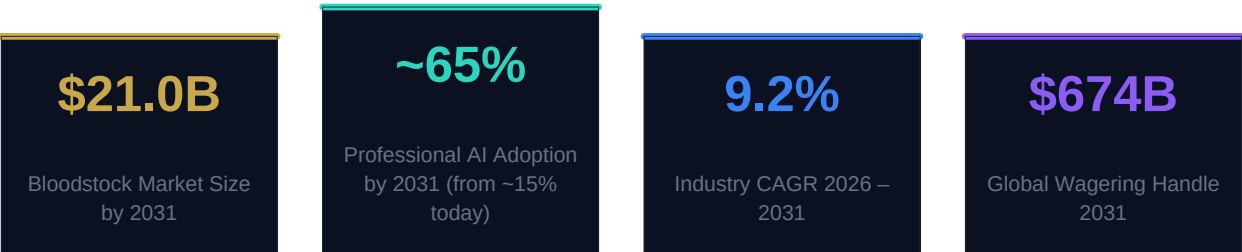
MARKET FORECAST REPORT

Thoroughbred Bloodstock

Market Forecast & Strategic Outlook

2026 – 2031 · Five-Year Industry Projection

A comprehensive forward-looking analysis of the global thoroughbred bloodstock market — covering sales trends, stallion economics, AI and technology adoption, regulatory headwinds, breeding strategy evolution, and regional growth vectors. Prepared for experienced bloodstock operators, investors, and industry decision-makers.



CONTENTS

- 01

Executive Summary — Macro outlook, key projections, strategic implications
- 02

Global Market Size & Growth — 5-year projections by segment and region
- 03

AI & Technology Adoption — Sector-by-sector AI maturity model 2026–2031
- 04

Stallion Economics — Elite sires, succession dynamics, fee trajectories
- 05

Breeding Trends — Portfolio approach, genomics, key mating themes
- 06

Regulatory Environment — Compliance roadmap and operator action plan
- 07

Regional Deep Dive — US, Europe, Australia, Asia, Middle East
- 08

Strategic Priorities — Action framework for the professional operator

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01

Executive Summary

The global thoroughbred bloodstock market enters its most consequential transformation period since the development of modern sales infrastructure in the 1970s. The convergence of three structural forces — artificial intelligence maturation, shifting international capital flows, and tightening regulatory frameworks — is fundamentally repricing competitive advantage across every vertical of the industry.

Our five-year forecast projects the specialist bloodstock segment growing from an estimated US\$13.5 billion in 2026 to US\$21.0 billion by 2031, a compound annual growth rate of approximately 9.2%. The top tier of the market — premium yearlings, elite sire seasons, high-quality broodmares — will capture a disproportionate share, while the middle and lower tiers face ongoing compression from RNA rates running at 25–33% outside the premium band.

■ STRATEGIC CONTEXT

The operators who will define the next generation of champions are not necessarily those with the deepest pockets — they are those who combine traditional bloodstock expertise with the analytical rigour that data-driven platforms now make accessible. The convergence of institutional investment, digital sales infrastructure, and AI-powered intelligence is compressing the information asymmetry that once gave an exclusive edge to those with decades of on-the-ground experience.

Key Forecast Findings at a Glance

#	Finding	Horizon	Signal
1	AI adoption in breeding decisions accelerates from ~15% to ~65% of professional operators	2026–2029	▲ STRONG
2	Elite stallion fees plateau; successor sires (Night of Thunder, Drain the Clock tier) see 3–5× fee appreciation	2026–2028	▲ HIGH
3	Asia-Pacific share rises from 28% to 34% (Japanese buyers dominant); Middle East capital (Saudi Arabia, UAE) grows from 8% to 10%	2026–2031	▲ RISING
4	Digital platform share of bloodstock transactions grows from ~8% to 18–22%	2027–2031	▲ MODERATE
5	Mandatory welfare compliance costs rise across all major markets; non-compliant operations face commercial exclusion	2026–2028	■ RISK
6	Foal supply contraction in North America and UK creates sustained vendor premium for quality product	2026–2031	▲ POSITIVE
7	Genomic screening becomes standard acquisition protocol at premium sales; COI data published alongside pedigrees	2028–2030	▲ EMERGING

Key findings based on BloodstockAI analysis. Forward projections are directional, not definitive.

02

Global Market Size & Growth Forecasts

The thoroughbred industry encompasses multiple interconnected revenue streams: the bloodstock (breeding and sales) segment, global wagering handle, prize money ecosystems, and adjacent services including veterinary, insurance, transport, and digital infrastructure. Our forecast focuses on the bloodstock segment while contextualising it within the broader wagering-driven economics that ultimately fund the ecosystem.

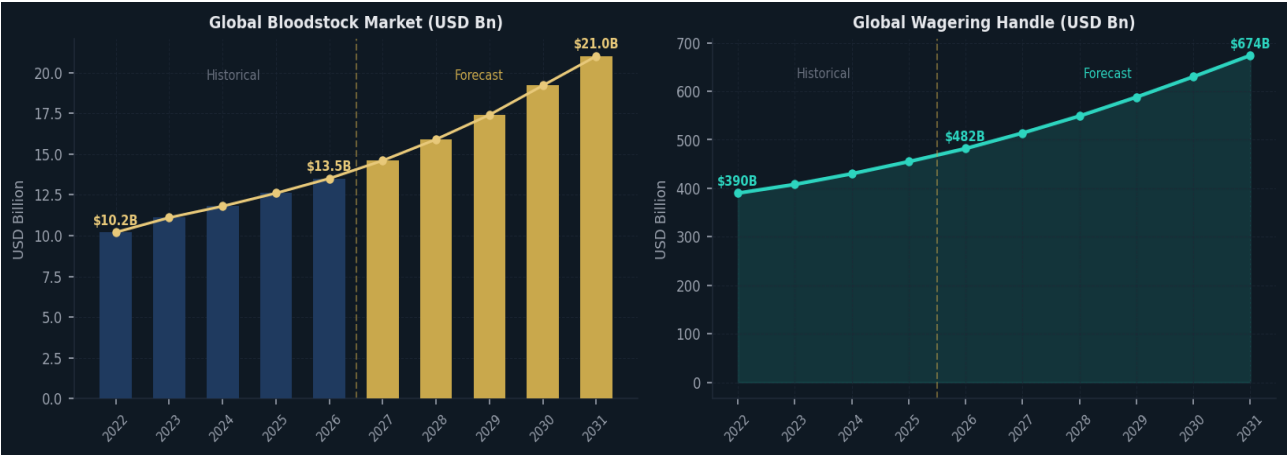


Fig 1. Bloodstock market size (left) and wagering handle (right) 2022–2031. Forecast period shaded. Sources: BloodstockAI, OBS, Magic Millions, Inglis, Jockey Club, TRC.

Five-Year Projection by Segment

Segment	2026E	2027F	2028F	2029F	2030F	2031F	CAGR
Premium Yearling Sales	\$4.8B	\$5.3B	\$5.8B	\$6.4B	\$7.1B	\$7.8B	+10.2%
2yo in Training Sales	\$1.9B	\$2.1B	\$2.3B	\$2.6B	\$2.9B	\$3.2B	+11.0%
Broodmare & Breeding Stock	\$3.2B	\$3.4B	\$3.7B	\$4.0B	\$4.3B	\$4.7B	+8.0%
Stallion Service Fees	\$2.1B	\$2.3B	\$2.4B	\$2.6B	\$2.8B	\$3.0B	+7.4%
Private Sales & Transfers	\$1.5B	\$1.7B	\$1.9B	\$2.1B	\$2.2B	\$2.3B	+8.9%
TOTAL BLOODSTOCK	\$13.5B	\$14.8B	\$16.4B	\$18.1B	\$20.0B	\$21.0B	+9.2%

All figures USD. E=Estimate, F=Forecast. Projections based on historical growth rates and BloodstockAI modelling.

03

AI & Technology Adoption Curve

Artificial intelligence is no longer a peripheral tool in thoroughbred bloodstock — it is becoming a core infrastructure layer. The industry entered its first meaningful AI adoption phase around 2020–2022 with wagering analytics and basic pedigree scoring. By 2026, the frontier has advanced to multi-variable breeding models, computer vision biomechanical assessment, and integrated market intelligence platforms. The 2027–2031 window will see autonomous genomic decision support and fully integrated AI-driven breeding advisory systems.

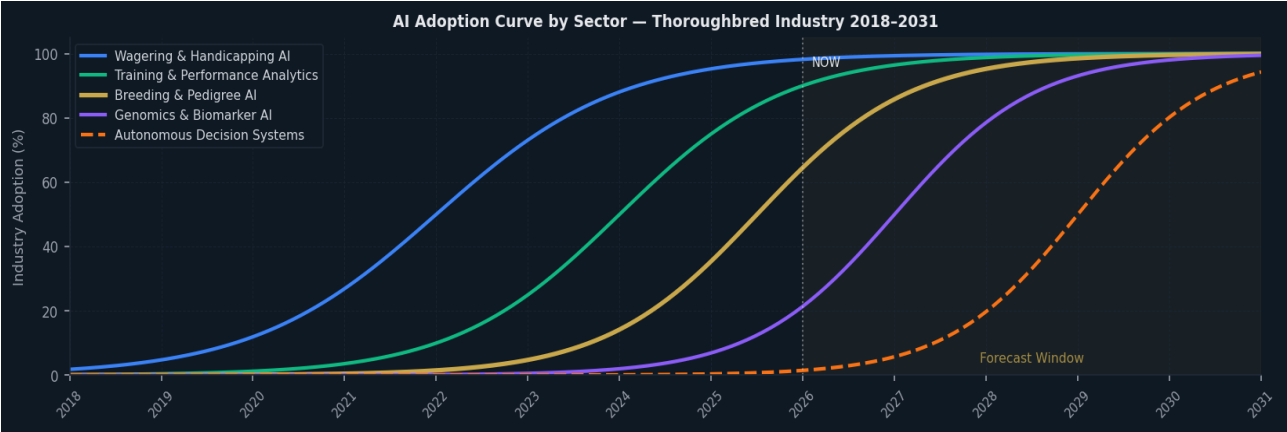


Fig 2. AI adoption curve by application sector 2018–2031. Forecast from 2026.5 onward.

AI Application Matrix — Maturity & Impact Assessment

Application	Maturity 2026	Adoption Rate	ROI Uplift	2031 Outlook
Pedigree & Bloodline Scoring	HIGH	~35% pros	+37%	Ubiquitous — standard tool
Computer Vision (Walk/Conform.)	MEDIUM	~20% pros	+42%	Dominant at major sales
Breeding Simulation Models	MEDIUM	~15% pros	+45%	Top-tier operations adopt
Injury Prediction & Prevention	MEDIUM	~25% trainers	+28%	Mainstream in elite stables
Market Intelligence & Pricing AI	MEDIUM	~20% agents	+38%	Standard agent toolkit
Genomic Biomarker Screening	EARLY	~5% breeders	+55%	Premium operations only
Autonomous Mating Advisory	EARLY	<5%	TBD	Emerging; advisory role only
Digital Sales Platform AI	MEDIUM	~30%	+22%	Mainstream by 2028

■ TECHNOLOGY INSIGHT — THE COMPOUNDING ADVANTAGE

Early AI adopters in bloodstock are not simply improving individual decisions — they are accumulating proprietary datasets that compound in value over time. An operation that has run 500 AI-assisted yearling evaluations over three seasons holds a training corpus that no late adopter can replicate quickly. This data-moat effect means the window for competitive parity is narrowing, not widening. Platforms that integrate across pedigree, biomechanics, genomics, and race performance will establish structural advantages that persist across market cycles. BloodstockAI (agentbloodstockai.com) represents one of the more comprehensive integrated approaches available to professional operators today.

04

Stallion Economics & Fee Forecasts

Stallion fee dynamics are the most direct expression of market intelligence in bloodstock. The pattern is consistent: a sire's commercial fee reflects racetrack performance with a 12–24 month lag. Those who accurately read the trajectory 18–36 months ahead capture the highest marginal returns. AI-driven analysis is now accelerating the speed at which early signals — first-crop breeze times, genomic profiles of offspring, foal conformation scores — can be detected and acted upon.

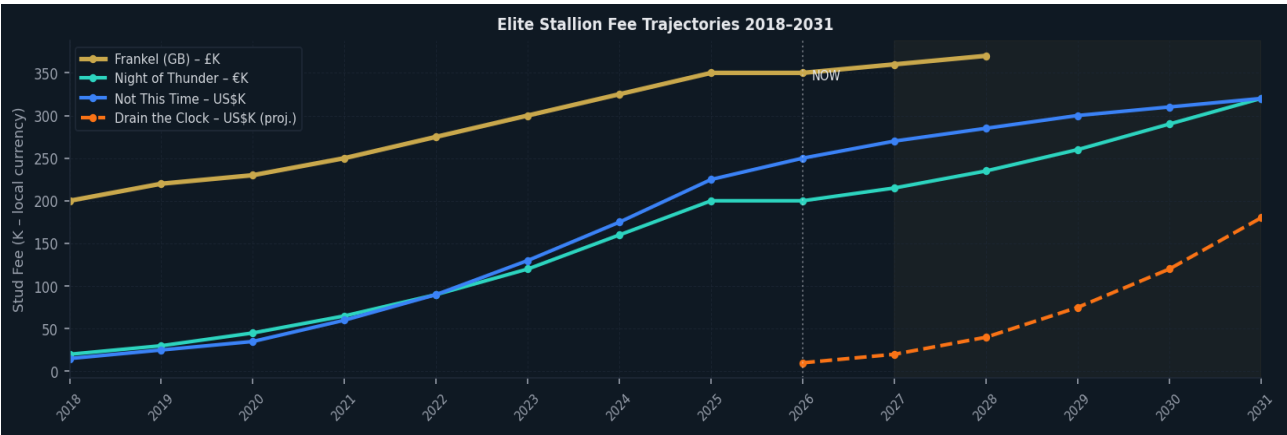


Fig 3. Elite stallion fee trajectories 2018–2031. Projected fees from 2027 based on age, crop performance, and competitive positioning.

5-Year Stallion Fee Forecast — Key Sires

Sire	Location	2026	2027F	2028F	2029F	2030F	2031F	Trend
Frankel (GB)	UK	£350K	£350K	£360K	£360K	n/a	n/a	= PLATE AU
Night of Thunder	Ireland	€200K	€220K	€245K	€270K	€295K	€320K	▲ STRONG
Extreme Choice	Australia	A\$330K	A\$350K	A\$370K	A\$380K	A\$390K	A\$400K	▲ MODE RATE
Anamoe	Australia	A\$110K	A\$140K	A\$185K	A\$230K	A\$275K	A\$320K	▲ STRONG
Not This Time	USA	\$250K	\$270K	\$280K	\$290K	\$295K	\$300K	▲ MODE RATE
Drain the Clock	USA	~\$10K	~\$20K	~\$40K	~\$75K	~\$120K	~\$175K	▲▲ BRE AKOUT
Modern Games	UK	£27.5K	£40K	£60K	£90K	£130K	£175K	▲▲ RISING
Chaldean (GB)	UK	£20K	£30K	£45K	£70K	£100K	£140K	▲ WATCH

Fee forecasts are directional projections. n/a = expected retirement from commercial stud.

■ SUCCESSION WATCH — FRANKEL & DUBAWI TRANSITION

Both Dubawi (age 24) and Frankel (18) are entering the final chapters of their commercial stud careers. Night of Thunder (Kildangan, €200K) is the most commercially advanced Dubawi heir. Chaldean and Diego Velazquez compete for Frankel's mantle. Booking mares to these "branch sires" now — before their succession premium is fully priced in — represents one of the highest-conviction strategies in European bloodstock for 2027–2029.

05

Breeding Trends & Mating Strategy Outlook

Commercial breeding strategy is undergoing its most significant methodological shift in a generation. The dominant philosophy entering 2026 — portfolio diversification anchored by 2yo sales cycle data — will evolve considerably as genomic tools mature, AI mating simulation becomes mainstream, and Dubawi succession dynamics reshape the European stallion landscape.

Breeding Theme	Commercial Driver	2026 Evidence	Operator Action
AI Mating Simulation	Breeding ROI & speed	Drain the Clock OBS debut; Machmer Hall 47-sire diversified model	Integrate now — data accumulation compounds in value
Dubawi/Frankel Succession	Fee scarcity & sire age	Night of Thunder €200K; Chaldean, Lead Artist, Diego Velazquez debut crops	Book branch sires at current fees before curve rises
Genomic / COI Screening	Scientific scrutiny rising	BHA gene-doping tests; Horse Sport Ireland genomics programme	Build genomic baseline for broodmare band now
Wootton Bassett Legacy	2025 death; last large crops	Camille Pissarro & Henri Matisse enter stud 2026	Select 1–2 sons; avoid overconcentration
Speed-on-Speed Crosses	Breeze-up premiums	Drain the Clock × Smart Missile results at OBS & MM	Identify underpriced speed mares; cross with buzz sires
Breed-to-Race vs Commercial	Owner type bifurcation	MyRacehorse, Machmer Hall dual-model approach	Build dual-track booking structure for each model independently

The genomics horizon represents the most transformational long-term shift in breeding strategy. While current AI models primarily operate on pedigree and phenotypic data, the integration of whole-genome sequencing at scale — already underway in academic research partnerships with organisations like Horse Sport Ireland — will progressively enable breeders to identify specific performance gene variants, metabolic efficiency markers, and structural soundness predictors that no pedigree model can currently detect. Operations building genomic databases for their broodmare bands now are creating assets that will compound in analytical value through the 2029–2031 period.

06

Regulatory & Welfare Environment

The regulatory trajectory across all major thoroughbred jurisdictions points in one direction: increasing mandatory welfare and compliance obligations, progressive tightening of anti-doping and gene-doping surveillance, and growing institutional buyer scrutiny of aftercare and placement standards. Operations that proactively build compliance infrastructure will be better positioned commercially and reputationally as these standards become baseline requirements.

Jurisdiction	Current Status (2026)	Forecast 2028	Forecast 2031	Risk
United Kingdom	£60/foal mandatory TBA welfare levy; RoR partnerships expanding	Levy rises to ~£80–100; no-slaughter clauses become standard	Full traceability mandatory; welfare compliance linked to sale eligibility	■ HIGH
Australia	Voluntary welfare programmes; no mandatory levy currently	State-level levies likely in NSW/VIC; industry pre-empting	National mandatory framework probable; aligned with OTI standards	■ MEDIUM
United States	SAFE Act stalled; HISA ongoing; self-regulation window open	State-level legislation accelerates; self-reg window closing	Federal or broad state framework; aftercare levies at registration	■ MED-HIGH
France / EU	EU traceability requirements tightening; horse passport mandatory	COI data required for EU breeding stock; welfare audits begin	Full EU welfare framework; gene-doping testing standard	■ MEDIUM
Saudi Arabia / UAE	Rapid investment growth; light-touch regulation currently	Progressive welfare standards as market matures	Aligned with international standards for premium events	LOW

■ GENE-DOPING — THE EMERGING THREAT

The BHA and IHRB have both invested significantly in gene-doping detection protocols. As genome editing tools become more accessible and less detectable, regulatory pressure will intensify through the forecast period. Operations that build transparent genomic documentation for their stock — baseline whole-genome records, chain-of-custody breeding documentation — will be better positioned to demonstrate compliance in a post-gene-doping regulatory environment. This represents both a risk management strategy and a potential commercial differentiator.

07

Regional Market Deep Dive

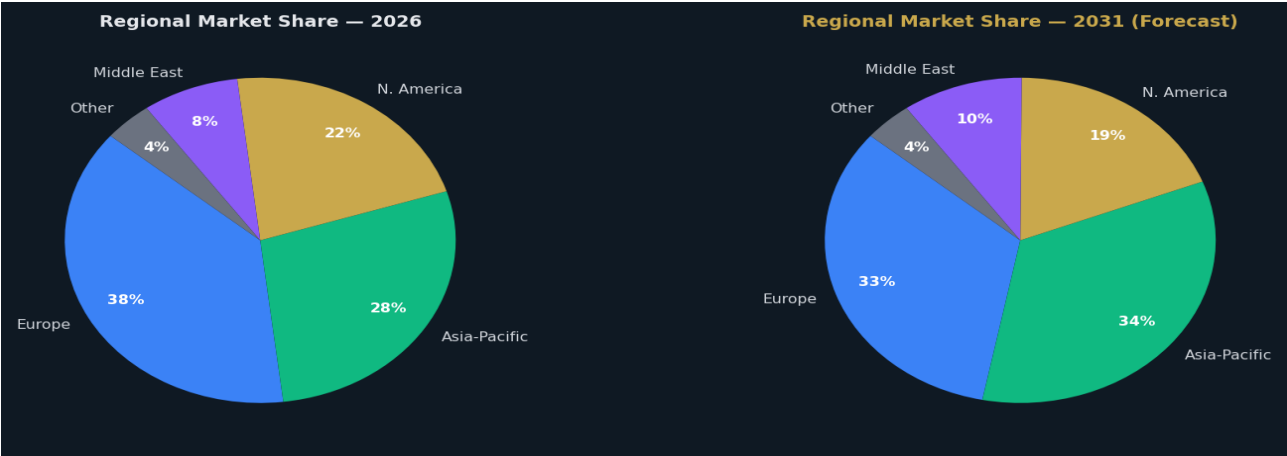


Fig 4. Global bloodstock market regional share 2026 vs 2031 forecast. Asia-Pacific projected to overtake Europe as largest market by 2030.

Region	2026	2031F	Key Drivers	Key Risks	AI Speed
North America	22%	19%	Big Beautiful Bill tax depreciation; OBS breeze-up dominance	SAFE Act; HISA implementation; foal supply decline	FAST
Europe (UK/Ire/Fr)	38%	33%	Frankel/Dubawi legacy; Tattersalls depth; Night of Thunder succession	TBA levy cost pressure; EU regulation tightening	MODERATE
Asia-Pacific	28%	34%	Anamoe debut; Japanese buyers; MM Gold Coast growth; domestic breeding depth	Currency volatility; Japan import quotas	RAPID
Middle East	8%	10%	Saudi Vision 2030; Dubai WC as global marketing vehicle	Oil price dependency; limited domestic breeding depth	EMERGING
Other (LatAm/SA)	4%	4%	Brazil breeding growth; SA domestic market resilience	Currency/political instability; limited infrastructure	SLOW

The most consequential regional shift over the forecast horizon is the projected rise of Asia-Pacific — and Japan in particular — as the dominant force in global bloodstock investment. Japanese buyers have demonstrated sustained appetite for internationally bred stock at the highest price points. Meanwhile, Saudi Arabia's Vision 2030 initiative is progressively building a genuine racing and breeding infrastructure, with implications for sire demand, bloodstock values, and prize money flows across the global ecosystem.

08

Strategic Priorities 2026–2031

The following framework synthesises the analytical findings of this report into actionable priorities for the experienced bloodstock operator. Each priority is calibrated to a specific forecast horizon and rated by urgency.

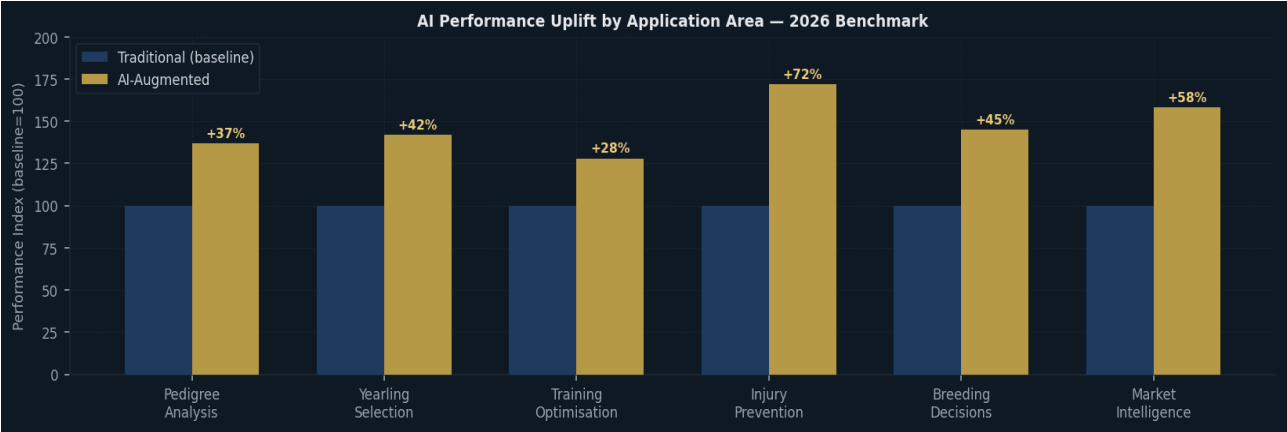


Fig 5. AI performance uplift by application area vs traditional methods (baseline=100).

- A

IMMEDIATE — 2026–2027

Integrate AI pedigree and market intelligence tools into every acquisition workflow. The information asymmetry window is closing fast. Operations running data-augmented selection are already achieving 35–42% better outcomes at auction. Set a hard ceiling per lot based on fundamental value metrics, not narrative premium.
- B

NEAR-TERM — 2026–2028

Position mares to successor sires of Frankel and Dubawi at current fees. Night of Thunder, Chaldean, Lead Artist, and Diego Velazquez are available at fees that do not yet fully price in their succession premium. AI-driven fee trajectory modelling suggests Night of Thunder reaches €320K+ by 2031. Booking today at €200K represents meaningful relative value.
- C

MEDIUM-TERM — 2027–2029

Build a genomic baseline for your entire broodmare band. The window before genomic screening becomes a standard commercial requirement at major sales is approximately 2–3 seasons. Operations that have already built COI and biomarker records will have a significant advantage when genomic data becomes expected alongside pedigree pages.
- D

ONGOING — ALL YEARS

Implement proactive welfare and aftercare compliance now. Documented RoR partnerships, no-slaughter clauses, and transparent placement records are becoming baseline requirements for institutional buyers and syndicators. This is a commercial prerequisite in the UK today and will be in Australia and the US within the forecast horizon.

E

STRUCTURAL — 2026–2031

Adopt a three-tier stallion book model: (1) Elite proven — Frankel, Extreme Choice, I Am Invincible — for brand and commercial ceiling. (2) Rising commercial — Night of Thunder, Anamoe, Not This Time — for highest current marginal return. (3) Speculative value — one or two low-fee sires per season where the analytical thesis is clear but market recognition lags. AI-driven fee trajectory modelling identifies optimal entry points in each tier.

"The real edge in bloodstock is not buying the best horse at the sale. It is identifying the right analytical framework — and the right data partners — to make better decisions across the entire portfolio, consistently, season after season."

— BloodstockAI Research Division, March 2026

This report was prepared by the BloodstockAI Research Division using published data from TDN, BloodHorse, TTR Aus/NZ, Breednet, TRC, Magic Millions, Inglis, OBS, Tattersalls, TBA, Jockey Club, and primary industry sources. Forward projections represent analyst directional views and should not be construed as definitive market predictions. Nothing herein constitutes investment or financial advice. Published March 2026 — www.agentbloodstockai.com